

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondents*.

DOCKET NO. 24-19

Served: June 30, 2025

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

**ORDER ON PENDING MOTIONS AND COMPLAINANT’S UNILATERAL STATUS REPORT AND
AMENDING SCHEDULING ORDER**

There are a number of pending motions that require action in advance of the forthcoming briefing schedule. Respondent Flexport International, LLC (“Flexport”) filed two motions seeking dismissal of the proceeding. On April 25, 2025, Respondent filed a Motion to Dismiss and for Sanctions. (Dkt. 54.) On May 22, 2025, Respondent filed a Motion for Sanctions for Failing to Comply with Discovery Orders. (Dkt. 63.) Complainant Peloton Interactive, Inc. (“Peloton”) filed four motions for confidential treatment. (Dkt. 18, 37, 65, and 69.) Flexport filed a Motion to Compel Discovery on January 3, 2025. (Dkt. 30.) Peloton filed a Motion to Compel Discovery on January 14, 2025. (Dkt. 32.) Additionally, Peloton filed an unsolicited unilateral status report to which Flexport filed a response. (Dkt. 67 and 71.) For the reasons set forth below, Peloton’s first motion for confidential treatment (Dkt. 18) is granted in part and denied, as are the motions to compel filed by Flexport and Peloton. (Dkt. 30 and 32.) All of the other pending motions are denied without prejudice subject to the terms of this order. Peloton’s unilateral status report and Flexport’s response thereto are procedurally improper in that requests for relief are required to be made by motion. For this reason, both are denied to the extent relief is sought. In order to allow the parties sufficient time to comply with the terms of this order, the Scheduling Order is being extended as set forth in Section H below.

I. Respondent’s Pending Motions

A. Respondent’s Motion to Dismiss and for Sanctions

Respondent’s Motion

On April 25, 2025, Respondent’s Motion to Dismiss and for Sanctions (w/ exhibits 1-7) was filed. (Dkt. 54.) On May 12, 2025, Complainant Peloton Interactive, Inc.’s Opposition to Respondent Flexport International LLC’s Motion to Dismiss and for Sanctions (w/exhibits 1-6, public and confidential versions) was filed. (Dkt. 58.) In the May 15, 2025, Order on Pending

Motions, Judge Crovella deferred ruling on the motion, stating that it would be decided in the initial decision. (Dkt. 62 at 5.) For purposes of efficiency, the motion will be decided now.

In its motion, Flexport states that it billed detention and demurrage based on its rules tariff as agreed to by Peloton, as expressly set forth in the parties' agreements, but that Peloton and its counsel have continuously refused to provide any specific details as to any of Flexport's "failures" or "violations" for any of the over 3,200 invoices at issue. Flexport alleges that it recently discovered that Peloton's counsel has deliberately concealed the very information Flexport has been seeking. In support of this assertion, it states that Exhibit "A" to Peloton's Amended Complaint includes all of the detention and demurrage charges in dispute and makes plain that the charges also include yard and warehouse storage. It also alleges that approximately two-thirds of the 3,200 invoices are time-barred.

Flexport states that during depositions taken in the last two weeks of March 2025, it was learned that Exhibit "A" was apparently created by counsel for Peloton. It states that Ms. Majstorovic, as corporate representative of Peloton, testified that Exhibit "A" was created as a direct result of an extensive audit conducted by Peloton. (Motion Ex. 3, Peloton Corp. Rep. Dep. Tr. at 262:25 – 265:18.) However, Flexport asserts that when questioned as to who created Exhibit A and how the information therein was gathered and organized, counsel for Peloton claimed that it was protected by the attorney-client privilege and work product doctrine. (Motion Ex. 3, Peloton Corp. Rep. Dep. Tr. at 169:2 – 172:15.) Flexport alleges that there are many more documents relating to this extensive audit that were not only never disclosed but deliberately concealed by Peloton's counsel. Flexport states that Peloton's counsel argued that this audit, and all documents derived therefrom are privileged despite that they relate to the very heart of its case. Although Peloton admits that the Google Suite document produced by Peloton from the audit contains each and every detention and demurrage invoice at issue in this litigation, as well as Peloton's notes regarding each (Motion Ex. 2, Baitman Dep. Tr. at 166:5 – 21), it asserts that the audit and the related documents contain the details of Peloton's allegations with each of the subject invoices that Flexport has been asking for since prior to the filing of the complaint.

Flexport alleges that the Peloton's response to Interrogatory No. 22 did not mention the audit despite that it asked Peloton to "Identify specifically Peloton's internal review procedures with respect to the Subject Invoices." Flexport alleges that after asserting numerous boiler-plate objections, Peloton responded as follows: Peloton responds that when an invoice was received from Flexport, the invoice would be uploaded into the Coupa software platform. Invoices in the Coupa platform would then be reviewed by a business process owner and any other necessary approvers. Peloton further responded that following internal discussions Peloton decided to bring in dedicated internal resources for freight spend and audit in late 2022. (Motion Exhibit 5, Peloton's Interrogatory Response to Flexport's Interrogatory No. 22.) Flexport alleges that no mention was made of the audit at issue, which commenced in August 2023.

Flexport alleges that the audit was not included in Peloton's response to Request for Production No. 34 that requested "all documents or spreadsheets generated by [Peloton] reflecting, for each Subject Invoice, the date of issuance of the invoice, the applicable house bill of lading number, the container number, and a breakdown of the charges owed (i.e. what the amount is for detention, demurrage, storage, transportation, etc.). It states that after its plethora of objections (including that the term "spreadsheet" was vague and ambiguous), Peloton responded

as follows: “Notwithstanding the foregoing Objections, Peloton will produce relevant spreadsheet files and documents that contain shipment terms in the manner that Peloton maintained this information in the ordinary course of business.” (Motion Ex. 6, Peloton’s Response to Flexport’s Request for Production No. 34.)

Flexport also alleges that Peloton’s attorneys have directed the entire litigation and improperly coached its witnesses to conceal clearly relevant information and documentation.

In sum, Flexport alleges that prior to signing the Initial Complaint, the Amended Complaint and the Interrogatory responses, Peloton made no independent assessment as to the validity of the assertions made therein, but instead relied entirely on the information provided to it by counsel. Peloton’s counsel asserted numerous boilerplate objections to each and every discovery request, including the most basic of questions such as the identity of witnesses and the factual basis for the claims. Flexport asserts that at the status conference¹ on discovery motions held on March 25, 2025, the ALJ rejected the use of boilerplate objections and that the order issued thereafter mandated that Peloton specifically identify each and every document that it contended was responsive to each interrogatory and request for production. (Dkt. 47).

Flexport asserts that Peloton has not provided this information or any supplemental responses at all. Citing, *inter alia*, deposition testimony in which a Peloton witness testified that the terms “port to door” and “store door” are used interchangeably, Flexport alleges that Peloton counsel improperly coached witnesses.

Flexport argues that it is well-established that under the sword and shield doctrine a party who raises a claim that will necessarily require proof by way of a privileged communication cannot insist that the communication is privileged. It also argues that under the sword-shield doctrine, work product protection is waived when a party possessing the documents seeks to selectively present the materials to prove a point but then attempts to invoke the privilege to prevent the opponent from challenging the assertion.

Flexport argues that Exhibit “A” to the Amended Complaint established that Peloton intends to use the findings of the audit to bring forth the instant claims against Flexport, but is claiming that the documents are privileged so that Flexport is not able to properly challenge the claims.

Flexport argues that Peloton has failed to comply with Judge Crovella’s rulings at the March 25, 2025, conference and has not provided supplemental responses one month later. Flexport seeks dismissal of the entire claim with prejudice and sanctions against Peloton and its counsel for all fees and expenses incurred. Flexport argues that Peloton has failed to comply with Commission’s Rules and ALJ’s order, which warrant dismissal under 46 C.F.R. §§ 502.72 and 502.141(2)(b). Flexport argues that counsel for Peloton has engaged in a repeated pattern of misconduct warranting sanctions.

¹ Both parties refer to the meeting held on March 25, 2025, as a hearing, but it was in fact a status conference and will be referred to herein as such.

Flexport requests entry of an order dismissing all claims with prejudice, appropriate sanctions, and other just and proper relief.

Complainant's Opposition

In its response to the motion (Dkt. 58), Peloton states this is third the dispositive motion to dismiss filed by Flexport shortly before the end of discovery after two prior dispositive motions were denied. It argues that the current motion, which it describes as Flexport's third motion to dismiss, violates rules against repetitive motions and is inconsistent with the scheduling order and precedent disfavoring dispositive motions filed during discovery. It argues that Flexport cannot show that it is entitled to the extraordinary remedy of dismissal of Peloton's complaint as a discovery sanction, stating that it has not violated any discovery orders or engaged in any other sanctionable conduct, and cannot show that it has suffered any prejudice as a result of Peloton's alleged conduct. It asserts that it complied with the March 26, 2025, order on motions to compel by supplementing its responses on April 25, 2025, and supports its compliance with the Declaration of attorney Kristine O. Little. It argues that it is entitled to recover its attorney's fees associated without responding to Flexport's repetitive motion, noting that the two prior motions to dismiss filed close to the end of discovery were denied. It further notes that Flexport has failed to comply with the March 26, 2025, order compelling discovery.

Peloton requests that the motion be denied and that appropriate relief granted, including that it be awarded attorney fees and cost incurred in connection with responding to the third motion to dismiss.

Discussion

Fed. R. Civ. P. 37(b), applicable to this proceeding pursuant to 46 C.F.R. § 502.12, authorizes a court to sanction a party who "fails to obey an order to provide or permit discovery." Fed. R. Civ. P. 37(b)(2)(A). In response to such failure, the court may "issue further just orders" as it sees fit, including an order "directing that ... designated facts be taken as established for purposes of the action." *Id.* 37(b)(2)(A)(i). Upon finding a violation of Rule 37(b), the court "must order the disobedient party ... to pay the reasonable expenses, including attorney's fees, caused by the failure, unless the failure was substantially justified or other circumstances make an award of expenses unjust." *Id.* 37(b)(2)(C).

Four factors guide a court's decision whether to invoke discovery sanctions, such as dismissal, under Rule 37(b): "(1) whether the party's conduct was due to willfulness, bad faith, or fault; (2) whether the adversary was prejudiced by the dismissed party's conduct; (3) whether the dismissed party was warned that failure to cooperate could lead to dismissal; and (4) whether less drastic sanctions [are appropriate]" *Bosal Industries-Georgia, Inc. v. PM Engineered Solutions, Inc.*, 2016 WL 11640113, at * 1 (N.D. Ohio May 26, 2016) (citations omitted.)

Imposing the extreme sanction of dismissal for a discovery violation is appropriate where a party acts in bad faith and with callous disregard of its discovery responsibilities. *National Hockey League et al. v. Metropolitan Hockey Club, Inc. et al.*, 427 U.S. 639, 643 (1976).

Although Peloton argues that the motion should be dismissed because it is repetitive of two previously filed dispositive motions that were denied, the undersigned finds that each motion

is distinct despite that certain of the underlying complaints share the common theme that Peloton has failed to provide sufficient information related to the nature of its claim. The first motion was a motion to dismiss for, *inter alia*, failure to state a claim upon which relief can be granted (Dkt.10), which resulted in Peloton filing an amended complaint. The motion was dismissed as moot on the ground that an amended complaint was filed. (Dkt. 14, 15.) The second was a motion for judgment on the pleadings (Dkt. 20), which was denied on the ground that the amended complaint was sufficiently pleaded to support the claims asserted. (Dkt. 35.) The current motion seeks the sanction of dismissal based on an allegation that, *inter alia*, Peloton has failed to comply with its discovery obligations and the order compelling discovery. As such, the undersigned finds that dismissal of the motion on the ground that it is repetitive is not warranted.

To the extent Peloton argues that it is entitled to attorney's fees for responding to the motion and other relief, these requests are improper in that all requests for relief must be made by motion and Peloton has filed none. 46 C.F.R. § 502.69(a).

In the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel served March 26, 2025, Peloton was ordered "to provide a supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories (referred to as "Confidential Peloton Production Log with Bates" in Complainant's January 10, 2025, filing)." (Dkt. 47 at 2.)

The Declaration of attorney Kristine O. Little, attached to Peloton's opposition to the motion, states that supplemental responses to interrogatories were served on April 25, 2025. A copy of the service email is attached as Exhibit 4 to the motion. A copy of the supplemental interrogatory response is attached as Exhibit 5 to the motion.

Flexport's motion does not allege that Peloton's supplemental interrogatory response failed to comply with the March 26, 2025, memorandum order compelling discovery. Rather, it challenges Peloton's withholding of an audit document under a claim of privilege and makes a number of speculative allegations including that Peloton engaged in generalized bad faith conduct that including coaching witnesses. The undersigned finds that there is insufficient evidence in the record to support a finding that Peloton acted in bad faith with callous disregard of its discovery responsibilities in order to justify the imposition of the extreme sanction of dismissal in accordance with the standard established in Supreme Court's decision in *National Hockey League*, 427 U.S. at 643.

At the same time, the record makes clear that Peloton has withheld the audit document under a claim of privilege for which Flexport is entitled to verify that the claim of privilege has been properly invoked. For this reason, Peloton is **ORDERED within 15** days of the date of this order to provide Flexport with a privilege log with respect to the audit document withheld under a claim of privilege that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

In addition, Peloton is **ORDERED** within 15 days of the date of this order to provide Flexport with a sworn affidavit or multiple affidavits setting forth the factual basis for each claim of privilege.

It is further **ORDERED** that to the extent that discovery issues have not been resolved by this order, the parties may raise objections and requests to exclude or obtain evidence in their briefs, citing to appropriate authority.

It is further **ORDERED** that Peloton's request for attorney's fees and other relief is **DENIED**.

It is further **ORDERED** that Flexport's motion for dismissal is **DENIED**.

B. Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders

Respondent's Motion

On May 22, 2025, Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders was filed. (Dkt. 63.) Flexport argues that Peloton has disregarded three discovery orders issued in this proceeding as well as Judge Crovella's oral ruling at the March 25, 2025, status conference held to discuss a number of issues, including Flexport's motion for protective order and motions to compel filed by both parties. Flexport alleges that the first order was entered on March 26, 2025, and required, *inter alia*, the parties to meet and confer to narrow the issues in dispute and for Peloton to provide "a supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories." (Dkt. 47, at 2.) Flexport alleges that the second order was entered on April 22, 2025, requiring supplemental responses to be provided by April 25, 2025. (Dkt. 52.) Flexport alleges that on May 15, 2025, the third order was entered on the motions to compel filed by each of the parties requiring supplemental responses to Interrogatory Nos. 12, 13, 14, 15, and 18. (Dkt. 62.) Flexport alleges that Peloton has failed to comply with all three orders.

Flexport alleges that Peloton did not supplement its interrogatories to identify specific Bates numbers for each response in accordance with the first order dated March 26, 2025. (Dkt. 47.) Rather, Flexport alleges that Peloton merely referred to its entire production of documents instead of specifically identifying them as requested. Flexport alleges that Peloton's supplemental interrogatory responses also incorporated by reference all prior general and specific objections that Judge Crovella deemed improper in the March 26, 2025, order. Flexport alleges that Peloton also failed to comply with the third order on pending motions, which provided: To the extent that the supplemental responses have not yet been provided, Peloton is **ORDERED** to respond to Interrogatories Nos. 12, 13, 14, 15 and 18, and provide specific Bates number references to the documents that it maintains are responsive to each of the interrogatories." (Doc. 62, at 4.)

Flexport complains that Peloton refers to thousands of documents and that its citations to tabs on the spreadsheet provided do not provide relevant or meaningful information based on its random sample of a few line items in the tabs.

Flexport complains that Peloton's corporate representative testified at deposition that information sought can be found in voluminous discovery without specifically identifying the documents in which the information can be found. (Dep. Excerpt. Dkt. 54 at 13-14.) Flexport complains that the supplemental responses to interrogatories, attached as Exhibit A to the motion, were produced on April 25, 2025, only after the second order was entered, and that no supplemental responses to request for production have ever been provided – nor any supplemental documents produced. Flexport also complains that the supplemental responses were “subject to” the prior general and specific objections previously asserted. Flexport asserts that these include multiple boilerplate and frivolous objections previously asserted by Peloton, including harassing, compound, overly broad, unduly privileged, etc. (Second Supplemental Response at 1, Motion Ex. B.)

Flexport asserts that the objections in Peloton's second supplemental responses are inconsistent with Judge Crovella's third order, which stated: Peloton's objections regarding Interrogatories Nos. 12-15 and 18 are so sweeping as to be meaningless, and it must respond to them to the extent it has non-privileged documents or information. (Third Order, Dkt. 62 at 4.)

Flexport also asserts that Peloton's first supplemental interrogatory responses nos. 5, 7, 8, 10, 11, 16, 17, 19, and 20 are non-responsive in that they contain argument that the question is not applicable and blanketly cites to “the deposition testimony in the case, and to the Expert Reports of John D. McCown and Richard J. Roche.” Flexport's motion includes a description of each interrogatory and response, and asserts why each is deficient.

Flexport requests entry of an order striking the pleading and awarding sanctions.

Complainant's Opposition

Peloton asserts that Flexport motion is improper on the ground that it is the fourth dispositive motion filed shortly before briefing, which are disfavored, not provided for in the Scheduling Order, and inefficient. Peloton further asserts that it has fully complied with all of the discovery orders issued in the proceeding. (Opposition, Dkt. 66.) Peloton states that it provided supplemental responses to Flexport's interrogatories, including a Bates log identifying thousands of responsive documents in Peloton's production. Peloton also served a second set of supplemental interrogatory responses citing its expert's line-by-line analysis of disputed shipments derived from documents belatedly produced by Flexport. Peloton argues that Flexport seeks more than the discovery rules require, noting that the Judge Crovella determined that “Peloton is not required to compile an analysis of responsive documents.” (Third Order, Dkt. No. 62 at 4.)

Pelton states that the parties each filed motions to compel in January of 2025 (Dkt. 30, 32), and that in response Peloton provided a spreadsheet identifying documents responsive to Flexport's interrogatories, which it refers to as the “Bates log.” (Complainant Response to Motion to Compel Ex. A, Dkt. 31.) Peloton states that at the conference held March 25, 2025, Judge Crovella noted that the Bates log had only been provided in response to the motion to compel and instructed Peloton to “to provide a supplemental response to [Flexport's] interrogatories with references to Bates numbers for documents responsive to the interrogatories (referred to as ‘Confidential Peloton Production Log with Bates’ in Complainant's January 10,

2025 filing),” *i.e.*, the “Bates log.” (Dkt. No. 47 at 2.) On April 22, 2025, Judge Crovella clarified that “[a]ny items specified in the [March 26] Order” (including items that Flexport was ordered to produce) were to be served by April 25, 2025. (Dkt. No. 52 at 2.)

Peloton asserts that in accordance with the March 26 and April 22 orders, Peloton served supplemental interrogatory responses on April 25, 2025, accompanied by the Bates log that it asserts is a spreadsheet identifying by category, subject matter, and Bates number the documents responsive to Flexport’s interrogatories. (Dkt. 58, Ex. 4-6.) Peloton asserts that the supplemental interrogatory responses directed Flexport to the categories in the Bates log that were responsive to the particular interrogatory. Peloton argues that this fulfilled its discovery obligations.

Peloton notes that Flexport filed its third motion to dismiss on April 25, 2025, the due date for the supplemental response, on the ground that no response had been filed despite that the supplemental interrogatories were timely served that day. Peloton also states that Flexport declined to withdraw the motion notwithstanding the timely response.

Peloton asserts that the May 15, 2025, third order provided that “[t]o the extent that the supplemental responses have not yet been provided,” Peloton was to respond to five of Flexport’s interrogatories (Interrogatories Nos. 12-15 and 18) and provide Peloton Bates number references to responsive documents, and also expressly provided that “Peloton is not required to compile an analysis of responsive documents.” (Dkt. 62 at 4). Peloton argues that the supplemental responses served on April 25, 2025, fulfilled these obligations. (Dkt. No. 58, Ex. 5.)

Peloton asserts that in an abundance of caution to ensure compliance with all of the discovery orders, it served a second supplemental interrogatory response on May 20, 2025, to include the supplemental expert report of Gregory E. Smith dated May 19, 2025, with exhibits including a spreadsheet containing information on Peloton shipments downloaded from Flexport’s online portal, which was updated to include documents produced by Flexport after the initial report and provides a line-by-line analysis of the shipments at issue. (Supplemental expert report, Opposition Ex. 2; Supplemental Interrogatory Response, Opposition Ex. 3.)

Peloton argues that the fact that thousands of documents were identified in its supplemental interrogatory response is consistent with the nature of this dispute involving more than 7,000 containers and 3,249 invoices. It also argues that Flexport’s allegation that its reference to the spreadsheet tabs is not responsive based on its random review of a few line items is not a sufficient methodology to support its broad allegation that Peloton’s reference to the spreadsheet tabs is insufficient.

With respect to Flexport’s allegation that Peloton failed to supplement its response to requests for production, Peloton argues that Flexport fails to identify any responsive documents not produced or cited to any order that has been violated.

Peloton argues that the current fourth motion to dismiss violates Judge Crovella’s order directing that such motions near the close of discovery are disfavored. (Third Order, Dkt. 62 at

5.) It also argues that the motion violates Commission Rule 69(d), which expressly provides that a repetitious motion will not be entertained.

Peloton requests that it be awarded attorney's fees and costs associated with responding to Flexport's repetitious motion.

Discussion

As set forth above at Section IA, imposing the extreme sanction of dismissal for a discovery violation is appropriate where a party acts in bad faith and with callous disregard of its discovery responsibilities. *National Hockey League et al. v. Metropolitan Hockey Club, Inc. et al.*, 427 U.S. 639, 643 (1976). Upon review of the record, the undersigned finds that it does not support that Peloton acted in bad faith with callous disregard of its discovery responsibilities, which is necessary to support the sanction of dismissal requested by Flexport.

Flexport states that the first order entered March 26, 2025, required, *inter alia*, the parties to meet and confer to narrow the issues in dispute and for Peloton to provide "a supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories." (Dkt. 47, at 2.) Flexport states that the second order was entered on April 22, 2025, requiring supplemental responses to be provided by April 25, 2025. (Dkt. 52.) Flexport states that on May 15, 2025, the third order was entered on the motions to compel filed by each of the parties. (Dkt. 62.)

The first order entered March 26, 2025, required, *inter alia*, the parties to meet and confer to narrow the issues in dispute and for Peloton to provide "a supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories." (Dkt. 47, at 2.) The record shows that both of those events occurred.

The second order entered on April 22, 2025, required Flexport to provide supplemental responses by April 25, 2025. (Dkt. 52.) The record shows that Peloton filed a timely response.

The third order entered May 15, 2025, on the motions to compel filed by each of the parties required Peloton to supplement its interrogatory responses as follow: To the extent that the supplemental responses has not yet been provided, Peloton is ORDERED to respond to Interrogatories Nos. 12, 13, 14, 15 and 18, and provide specific Bates number references to the documents that it maintains are responsive to each of the interrogatories." (Doc. 62, at 4.) The record shows that Peloton timely supplemented its interrogatory responses, but Flexport alleges that the responses did not comply with the direction to provide specific Bates number references that it maintains are responsive to each of the interrogatories. For this reason, a review of the supplemental interrogatory responses is warranted.

Interrogatory Responses 12, 13, and 14 were supplemented in Peloton's Second Supplemental Interrogatory Responses served May 20, 2025. (Motion, Ex. B.)

Interrogatory 12

Interrogatory No. 12: For each Subject Shipment, state specifically the cause of all alleged delays relating to the retrieval and return of the containers.

Supplemental Response to Interrogatory No. 12: Without waiving its previous objections, Peloton refers Flexport to the Supplemental Expert Report of Gregory E. Smith and exhibits, served on May 19, 2025, which contains a detailed analysis of the Portal Events Files (produced by Flexport as the “Peloton Events Downloads”) and correlates recorded shipment events causing delays with each shipment contained in Exhibit A of Peloton’s Amended Complaint.

Interrogatory 13

Interrogatory No. 13: For each Subject Shipment, state specifically how Flexport caused or contributed to the underlying transportation delay as alleged Paragraph 18 of Your Verified Amended Complaint.

Supplemental Response to Interrogatory No. 13: Without waiving its previous objections, Peloton refers Flexport to the Supplemental Expert Report of Gregory E. Smith and exhibits, served on May 19, 2025, which contains a detailed analysis of the Portal Events Files (produced by Flexport as the “Peloton Events Downloads”) and correlates recorded shipment events causing delays with each shipment contained in Exhibit A of Peloton’s Amended Complaint.

Interrogatory 14

Interrogatory No. 14: For each Subject Shipment, state specifically how Flexport caused or contributed to the delay in equipment return as alleged Paragraph 18 of Your Verified Amended Complaint.

Supplemental Response to Interrogatory No. 14: Without waiving its previous objections, Peloton refers Flexport to the Supplemental Expert Report of Gregory E. Smith and exhibits, served on May 19, 2025, which contains a detailed analysis of the Portal Events Files (produced by Flexport as the “Peloton Events Downloads”) and correlates recorded shipment events causing delays with each shipment contained in Exhibit A of Peloton’s Amended Complaint.

The undersigned finds that Peloton’s supplemental responses to Interrogatory Nos. 12, 13, and 14 are sufficient and comply with Judge Crovella’s third discovery order dated May 15, 2025, in that the answer to the question posed is provided in the supplemental expert report of Gregory E. Smith, which contains his detailed analysis of the Portal Events filed produced by Flexport. Although the “subject to” and boilerplate objections are improper, their presence does not justify the imposition of sanctions because no order was entered directing Peloton not to assert them. Moreover, there is no evidence that they were asserted in bad faith and to the extent objectionable the proper action would be to move to strike on that basis.

Interrogatory Response Nos. 15 and 16 were supplemented in Peloton’s Supplemental Interrogatory Responses served April 25, 2025. (Motion, Ex. A.)

Interrogatory 15

Interrogatory No. 15: For each Subject Shipment, identify the date upon which Peloton advised Flexport that each container was available to be returned.

Supplemental Response to Interrogatory No. 15: Without waving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession. See for example,

PELTON0032729-PELTON0032748; PELTON0003753-PELTON0003759;

PELTON0032762-PELTON0032764; PELTON0032288-PELTON0032289;

PELTON0032728; PELTON0031323; PELTON0046062; PELTON0026519;

PELTON0003753. Peloton also refers Flexport to additional examples under the Container Information tab of the bates log.

Interrogatory 18

Interrogatory No. 18: For each Subject Shipment, state how many days the container was at Peloton's facility before Peloton advised Flexport that same could be returned. For each such detention charge, state with specificity the factual bases as to how the delay could be the result of Flexport's actions or inactions.

Supplemental Response to Interrogatory No. 18: Without waving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession. See for example,

PELTON0032729-PELTON0032748; PELTON0003753-PELTON0003759;

PELTON0032762-PELTON0032764; PELTON0032288-PELTON0032289;

PELTON0032728; PELTON0031323; PELTON0046062; PELTON0026519;

PELTON0003753. Peloton also refers Flexport to additional examples under the Container Information tab of the bates log.

The undersigned finds that Peloton's supplemental responses to Interrogatory Nos. 15 and 18 are not fully compliant with Judge Crovella's direction in the third discovery order dated May 15, 2025, to "provide Peloton Bates number references to responsive documents. (Dkt. 62 at 4.) Rather, Peloton provided examples consisting of four Bates ranges and five Bates numbers with other examples under the Container Information tab of the Bates log. (Complainant Response to Motion to Compel Ex. A, Dkt. 31.) Although Peloton argues that the order also expressly provided that "Peloton is not required to compile an analysis of responsive documents" (Dkt. 62. 4), this does not mean that Peloton is relieved of its obligation to identify the responsive documents by Bates number or Bates range as directed in the order. Nonetheless, the undersigned finds that Peloton made a good faith effort to supplement the interrogatories and that

the imposition of the sanction of dismissal is not warranted based on its failure to comply fully with the order.

Although Flexport argues that Interrogatory response Nos. 5, 7, 8, 10, 11, 16, 17, 19, and 20 are non-responsive, no order was entered directing Peloton to supplement these responses. As such, the undersigned finds that there is an insufficient basis to impose the sanction of dismissal.

The undersigned finds that Flexport's remaining arguments do not warrant the imposition of the extreme sanction of dismissal because there is no competent evidence to support a finding that Peloton acted in bad faith with callous disregard for its discovery responsibilities.

To the extent Peloton argues that it is entitled to attorney's fees for responding to the motion and other relief, these requests are improper in that all requests for relief must be made by motion and Peloton has filed none. 46 C.F.R. § 502.69(a).

Peloton is **ORDERED within 15 days of the date of this order** to provide Flexport with a supplemental responses to Interrogatory Nos. 15 and 18 in which all responsive documents are identified by Bates number, Bates range, or other identification number. Peloton is directed not to assert any "subject to" or boilerplate objections in its response, and to the extent any general objection is asserted that the factual basis for the objection to be stated. To the extent any claim of privilege is raised, Peloton is directed to provide a privilege log that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

It is further **ORDERED**, that both parties are advised that the failure to comply with any order entered in this proceeding may result in the imposition of sanctions, including but not limited imposing an adverse inference, dismissal of the complaint, or entry of judgment.

It is further **ORDERED** that Peloton's request for attorney's fees and other relief is **DENIED**.

It is further **ORDERED** that Flexport's motion for sanctions is **DENIED**

C. The Unresolved Disputes in the Parties Motions to Compel

Respondent filed a motion to compel discovery on January 3, 2025. (Dkt. 30.) Complainant filed a motion to compel discovery on January 14, 2025. (Dkt. 32.) A number of the issues in the motions were resolved in the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel. (Dkt. 47.) That order compelled discovery against both parties, directed that the parties meet and confer to further attempt to narrow and/or resolve their discovery disputes, and directed the parties to file a joint status report no later than April 4, 2025, stating whether any items sought through their motions to compel had been resolved, withdrawn, or modified based on the March 25, 2025, conference or the rulings in the memorandum order. (Dkt. 47 at 2.)

In accordance with the order, the parties filed a Joint Status Report on April 4, 2025. (Dkt. 50.) In the report, Peloton asserts that only three responses to its request for production remain in dispute, namely Request for Production Nos. 4, 5, and 13. With respect to RFP No. 4, Peloton alleges that Flexport has not produced all communications with contractors such as motor carriers, railroad, marine terminal operator, and ocean carriers regarding Peloton shipments from May 2021 in accordance with the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motion to Compel served March 26, 2025. (Dkt. 47.)

Peloton alleges that the only unresolved discovery issues with respect to Flexport's motion to compel are with respect to Interrogatory Nos. 12, 13, 14, 15, 18, and 24 in that the parties dispute whether the scope of these interrogatories are overly broad or the appropriate subject for an interrogatory. Peloton states that it has agreed to further consider how to amend these interrogatory responses to address Flexport's stated concerns.

Flexport states that most of the issues have been resolved but that the unresolved issues include the following: 1) Peloton failed to provide supplemental interrogatory responses with references to Bates numbers in accordance with the March 26, 2025, memorandum order. (Dkt. 47 at 2); 2) Peloton continues to make "subject to" and boilerplate objections despite that Judge Crovella made clear at the March 25, 2025, status conference that such objections are disfavored, and has not withdrawn them despite Flexport's request to do so.

Flexport also states that it has provided or agrees to provide all documents mandated by the March 26, 2025, memorandum order. (Dkt. 47.)

On June 6, 2025, Peloton filed Complainant Peloton Interactive, Inc.'s Status Report. (Dkt. 67.) In its unilateral report filed without direction to do so, Peloton asserts that Flexport has failed to comply with the previously entered orders compelling discovery. Peloton asserts that it is prejudiced by this failure given that discovery is closed, and that it will seek appropriate relief, including but not limited to adverse inferences or a decision on default. Peloton notes that Judge Crovella recognized that "the information necessary to determine whether Flexport's practices were reasonable or unreasonable may well be entirely in the possession of Flexport, reinforcing the import of discovery and a more fully developed record here in fairness to Peloton[.]" in its January 29, 2025, order denying Flexport's Motion for Judgment on the Pleadings. (Dkt. 35 at 7.) Peloton asserts that Flexport did not produce this information, despite the entry of orders on March 26, 2025, April 22, 2025, and May 15, 2025, compelling Flexport to produce, among other things, its internal communications and communications with third parties regarding the movement of Peloton containers, including information from its portals. Peloton complains that to the extent that Flexport has produced responsive documents, it has been de minimis and limited to shipment communications. Peloton states that Flexport failed to produce multiple categories of documents, including: 1) internal communications or communications with third parties involved in Peloton shipments; and 2) data relied on by Peloton's expert. (Dkt. 67 at 1-4.)

Peloton asserts that communications with ocean carriers have not been produced, noting that the response included only 17 emails between Flexport and Zim despite that approximately 7,000 containers moved through Flexport's third party subcontractors. Peloton also complains that Flexport produced minimal communications with the thirty-six truckers who moved Peloton shipments, contrary to deposition testimony confirming that such communications should exist.

Peloton complains that Flexport failed to produce any communications from the Flexport-designed platform called Transmission, that Peloton recently learned from JC Transport was used for at least some of these communications. Peloton argues that although Flexport's asserts that it produced communications with truckers through the Peloton Events Download from its portal, a review of its entries reflects that it appears to be a log rather than the substantive communications themselves. Peloton also complains that Flexport did not produce notes and communications from its internal use of platforms, including CORE that housed critical communication information regarding Peloton shipments, and states that these notes were relied on by Flexport employees when preparing invoices, including detention and demurrage charges. (Dkt. 67, at 5-8.)

Peloton complains that Flexport's expert report, the Kardian Report, did not disclose any of the documents reviewed to support his findings, and that after Peloton raised the issue Flexport served a supplemental report on April 28, 2025, which included vague references to broad categories of materials without references to specific Bates numbers. Peloton complains that at deposition Mr. Kardian disclosed that he relied on the CORE document notes referenced in his report but was not part of the Peloton Events Download. Peloton complains that Flexport has failed to identify where the document can be found in its production despite multiple requests to do so. Peloton also asserts that it has concerns about Flexport's overall conduct of discovery. (Dkt. 67, at 9-11.)

On June 13, 2025, Flexport filed Respondent's Response to Peloton's Status Report. (Dkt. 71.) Flexport asserts that the status report is improper and done in an effort to circumvent motion practice. Flexport argues that Peloton is engaging in a fishing expedition and ignored multiple orders to supplement its discovery responses, which were sought to determine the basis for Peloton's claims. Flexport argues that Peloton has continuously refused to provide any basis for its claims as to what Flexport allegedly did wrong – other than assessing D&D charges on “store-door” shipments for which not a single through bill of lading was issued. Flexport asserts that it has produced: (1) 32,933 documents consisting of 106,966 pages; (2) approximately 5,000 pages of shipment files; and (3) spreadsheets setting forth details, including status updates and correspondence for each shipment at issue, totaling 275,625 lines of data. Flexport asserts that it learned through deposition that Peloton has failed to disclose and actively concealed the results of an audit of each and every shipment at issue, including the underlying causes of the delay and the party responsible. (Dkt. 71 a 1-6.)

Flexport asserts that it has produced 2,000 pages of correspondence with third parties, and notes that an NVOCC does not typically send emails to ocean carriers but rather sends all communication through EDI or similar mechanism. Flexport further asserts that discovery made plain that correspondence regarding free time and detention and demurrage is between the trucker and the ocean carrier. Flexport argues that all communications are reflected in the emails and spreadsheets produced by Flexport. Flexport states that Flexport's real time tracking system is referred to as Core, and that data in Core is received directly from truckers who use another system called Transmission. Flexport asserts that truckers enter each and every status update regarding shipments through transmission, which is immediately reflected in Core and cannot be deleted or modified by the trucker. Flexport asserts that in preparing the discovery responses, the only way to download the information contained in Core was the spreadsheets that Flexport

produced and titled “Events Downloads,” and that this information was supplemented to include invoices issued after May 1, 2025, to comply with Judge Crovella’s order. With respect to the Kardian expert report, Flexport asserts that Mr. Kardian reviewed the Events Downloads reflecting the information contained in Core, and that all documents reviewed by the expert were produced in discovery. (Dkt. 71, 7- 11.)

Discussion

In accordance with the memorandum order of motions to compel and joint status report filed by the parties on April 4, 2025, the unresolved issues in the pending motions to compel are addressed below. As set forth in section II below, the unilateral status report filed by Peloton and the response filed by Flexport are procedurally improper. The parties are directed to address any unresolved discovery issues in their respective briefs.

Peloton’s Request for Production Nos. 4, 5, and 13

Request for Production No. 4

Request for Production 4: Produce all Documents and records in connection with the Peloton Shipments, including all contracts and agreements, service agreements with Ocean Carriers, negotiated service arrangements (NSAs), negotiated rate arrangements (NRAs), freight invoices, bills of lading, waybills, Documents and Container management data, Motor Carrier work orders, Motor Carrier invoices, Motor Carrier bills of lading, linehaul bills of lading, freight invoices, Demurrage and Detention invoices, Marine and Inland Terminal data and records, railroad records, Motor Carrier records, and payment records.

Flexport Response: Flexport objects to the instant request on the ground that it is not calculated to seek relevant evidence. The agreements, invoices, and records, if any, and the applicable rates, would be proprietary and would have no bearing on any issue in this litigation.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. Flexport’s objection is **OVERRULED**. The motion to compel RFP No. 4 is **GRANTED**. Flexport is directed to produce all responsive documents within 15 days of the date of this order.

Request for Production No. 5

Request for Production 5: Produce all Documents and data concerning real time tracking information Flexport makes available to customers through online platforms.

Flexport Response: Flexport objects to the instant request on the grounds that it is utterly vague, not limited in terms of time or scope, is unduly burdensome and not calculated to seek relevant evidence. Flexport is at a loss to understand what is meant by “documents concerning real time tracking information.” Is Peloton seeking all data regarding real time tracking for every shipment Flexport handles on behalf of all of its customers? Flexport cannot even formulate a response to this request. Notwithstanding the foregoing, Peloton has always had, and continues to have, access to all real-time data through the Core Client App and any documents or data therein is available to be downloaded.

RULING: The undersigned finds that the request is unduly vague. Moreover, Flexport asserts that all relevant real time data is available through the Core Client App, which has been produced. Flexport's objection is **SUSTAINED**. The motion to compel RFP No. 5 is **DENIED**.

Request for Production No. 13

Request for Production 13: Produce all Documents, including policies, standards, guidelines, practices, procedures, internal deliberations, reports, memorandums, presentations, training or analyses related to (1) Flexport's charging of Detention & Demurrage and (2) compliance with the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41102(d), 41104, as amended, including regulations, interpretive guidance, and adjudicatory decisions relating to Demurrage and Detention in the U.S. from 2018-Present.

Flexport Response: Flexport objects to the instant request on the ground that it is vague and unduly burdensome. Peloton is seeking all documents relating to the charging of D&D charges. This could encompass a wide array of documents which would be all but impossible to locate – and there is no reason to do so. What is meant by policy, standard, practice, or procedure with respect to the charging of detention and demurrage? Further, there is no basis at all for the timeframe to be 2018. All Detention and Demurrage were assessed in accordance with Flexport's Rules Tariffs, publicly available and produced herewith.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence but that the time frame is excessive. Flexport's objection is **SUSTAINED IN PART**. The motion to compel RFP No. 13 is **GRANTED IN PART**. Flexport shall produce responsive documents for years 2020 and 2021 within 15 days of the date of this order.

Flexport's Interrogatory Nos. 12, 13, 14, 15, 18, and 24

Interrogatory No. 12

Interrogatory No. 12: For each Subject Shipment, state specifically the cause of all alleged delays relating to the retrieval and return of the containers.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, compound, unduly burdensome, and harassing. Peloton further objects to the request that Peloton "state specifically the cause of all alleged delays" for "each" Subject Shipment as overly broad, unduly burdensome and ambiguous. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information. Subject to and without waiving any of the foregoing objections, upon information and belief, Peloton responds that the facts relating to cause of delays relating to the retrieval and return of containers are described in the Amended Complaint and Peloton further responds that it will answer this Interrogatory by producing non-privileged documents in its possession, custody, or control.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. With the exception of claims of privilege, Peloton's objections are

OVERRULED. The motion to compel Interrogatory No. 12 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All “subject to” and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Interrogatory No. 13

Interrogatory No. 13: For each Subject Shipment, state specifically how Flexport caused or contributed to the underlying transportation delay as alleged Paragraph 18 of Your Verified Amended Complaint.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, unduly burdensome, and harassing. Peloton further objects to the request that Peloton “state specifically how Flexport caused or contributed to the underlying transportation delay” for “each” Subject Shipment as overly broad, unduly burdensome and ambiguous. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information. Subject to and without waiving any of the foregoing objections, Peloton responds that it will answer this Interrogatory by producing relevant, non-privileged documents in its possession, custody, or control pertaining to Flexport’s causation or contribution to transportation performance problems, issues, and delays.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. With the exception of claims of privilege, Peloton’s objections are **OVERRULED**. The motion to compel Interrogatory No. 13 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All “subject to” and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Interrogatory No. 14

Interrogatory No. 14: For each Subject Shipment, state specifically how Flexport caused or contributed to the delay in equipment return as alleged Paragraph 18 of Your Verified Amended Complaint.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, compound, unduly burdensome, and harassing. Peloton further objects to Flexport's request that Peloton "state specifically how Flexport caused or contributed to the underlying transportation delay" for "each" Subject Shipment as overly broad, unduly burdensome and ambiguous. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information. Subject to and without waiving any of the foregoing objections, Peloton responds that it will answer this Interrogatory by producing relevant, non-privileged documents in its possession, custody, or control pertaining to Flexport's causation or contribution to transportation performance problems, issues, and delays related to the return of empty equipment.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. With the exception of claims of privilege, Peloton's objections are **OVERRULED**. The motion to compel Interrogatory No. 14 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All "subject to" and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Interrogatory No. 15

Interrogatory No. 15: For each Subject Shipment, identify the date upon which Peloton advised Flexport that each container was available to be returned.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, compound, unduly burdensome, and harassing. Peloton further objects to Flexport's request that Peloton "identify the date upon which Peloton advised Flexport that each container was available to be returned" for "each" Subject Shipment as overly broad, unduly burdensome and ambiguous. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information. Subject to and without waiving any of the foregoing objections, Peloton responds that it will answer this Interrogatory by producing relevant, non-privileged documents in its possession, custody, or control pertaining to container return availability.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. With the exception of claims of privilege, Peloton's objections are

OVERRULED. The motion to compel Interrogatory No. 15 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All “subject to” and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Interrogatory No. 18

Interrogatory No. 18: For each Subject Shipment, state how many days the container was at Peloton’s facility before Peloton advised Flexport that same could be returned. For each such detention charge, state with specificity the factual bases as to how the delay could be the result of Flexport’s actions or inactions.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, compound, unduly burdensome, harassing, and not reasonably calculated to lead to the discovery of admissible evidence. Peloton further objects to Flexport’s request that Peloton “state how many days the container was at Peloton’s facility” for “each” Subject Shipment and to “state with specific the factual bases as to how the delay could be the result of Flexport’s actions or inactions” with respect to “each such detention charge,” as overly broad, unduly burdensome and ambiguous. Peloton further objects to this Interrogatory because it requests information in the possession, custody, or control of Flexport. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Peloton further objects to the extent that this Interrogatory seeks an unduly burdensome compilation, summary or analysis of documents or information. Subject to and without waiving any of the foregoing objections, Peloton responds that it will answer this Interrogatory by producing relevant, non-privileged documents in its possession, custody, or control pertaining to the Interrogatory.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. With the exception of claims of privilege, Peloton’s objections are **OVERRULED**. The motion to compel Interrogatory No. 18 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All “subject to” and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

Interrogatory No. 24

Interrogatory No. 24: If any of the following personnel are not currently employed by Peloton, provide their last known contact information, including address, telephone, mobile, and

personal email: Katie Eiden, David Bateman, Eric Miller, Ellen Kapiloff, Corey Perkins, Martina Scholz, Anthony Hernandez, Eric Heyden, Catherine Butschi, Sidorela Rrapi, Cara Lyons, John Antista, Erwin Hennans, Jon Adee, William Lynch, and Robert Goldschmidt.

Response: Peloton objects to this Interrogatory on the grounds that it is overly broad, unduly burdensome, and harassing. Peloton further objects to the extent this Interrogatory seeks information protected from disclosure by the attorney-client privilege and the work-product doctrine, or other protections from disclosure. Subject to and without waiving any of the foregoing objections, Peloton responds that the following personnel are not currently employed by Peloton: Katie Eiden, David Bateman, Eric Miller, Ellen Kapiloff, Corey Perkins, Martina Scholz, Anthony Hernandez, Sidorela Rrapi, Cara Lyons, John Antista, Elwin Hennans, Jon Adee, William Lynch, and Robert Goldschmidt.

RULING: The undersigned finds that the request is not reasonably calculated to lead to the discovery of admissible evidence given that discovery is closed. The motion to compel Interrogatory No. 24 is **DENIED**.

D. Complainant's Pending Motions for Confidential Treatment

On May 13, 2024, an initial order was issued that provided detailed instructions about the use and filing of confidential material. (Dkt. 4.) It states in pertinent part:

Confidential Material

20. *Stipulation* – The parties may agree and stipulate between themselves regarding treatment of confidential documents and information obtained during discovery that is not filed with the Commission. The parties may, but are not required to, file a courtesy copy of the agreement with the Commission.
21. *Use in the proceeding* – If confidential information is filed in a memorandum or as an exhibit to a dispositive motion or as part of briefing on the merits, it must be accompanied by a motion justifying confidential treatment. This motion must identify each item for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information. 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection.
22. *Depositions* – Parties may not mark entire depositions as confidential. Parties should ask questions that may require confidential responses together, typically at the end of the deposition. Alternatively, parties may mark as confidential selected statements in a deposition prior to filing the deposition as an exhibit. Requests for confidential treatment of entire depositions should not be made and may be summarily rejected.
23. *Filing* – Parties should file two versions of confidential filings marked on the cover page as the “confidential version” and the “public version.” 46 C.F.R. § 502.5. Parties may label all pages as “confidential” or “public” in the header or footer. Improperly marked filings may be rejected.

24. *Marking confidential material* – In the confidential version, the confidential information must be conspicuously and clearly marked on each page, for example by outlining, highlighting, boxes, or braces. The public version must clearly indicate any omissions, for example with blackout or braces. *Pagination and depiction of text on each page must be identical to that of the confidential version.* For example, the confidential filing may read: “On January 1, 2010, Complainant entered into a {25} year lease with respondent for a monthly rent of {\$1000}.” The public version would read: “On January 1, 2010, Complainant entered into a {25} year lease with Respondent for a monthly rent of {\$1000}.” Only confidential numbers or words should be marked as confidential in the confidential version and thus redacted in the public version, not entire sentences. Improperly marked filings may be rejected.

Initial Order at 4-5.

1. First Motion for Confidential Treatment

On November 7, 2024, Complainant Pelotons Interactive, Inc.’s Motion for Confidential Treatment Motion for Confidential Treatment, which seeks confidential treatment of Exhibits B and C to Flexport’s answer. (Dkt. 18.) The motion states that the exhibits are two confidential master services agreements between Peloton and Flexport. Peloton argues that good cause exists for protection of the information contained therein. Flexport states that the exhibits contain commercially sensitive information related to the business dealings of the parties, including but not limited to rates, charges, and key performance indicators (KPIs). It also states that both exhibits also include personally identifiable information (PII) for a number of Peloton employees, Flexport employees, and third parties.

Attached to the motion are versions of each exhibit with the commercially sensitive information highlighted. Peloton states: ‘Significantly, section 4(a) of both Exhibit B and Exhibit C specifically state “Confidential Information includes this Agreement, the terms and conditions of this Agreement, and information exchanged in the course of negotiating this Agreement.” It argues that based on the commercially sensitive nature of the information contained in Exhibits B and C and the Parties clear intent that the contents of the Exhibits be treated as confidential, the confidential portions of the exhibits should have been designated as confidential by Flexport when filing its Answer. Peloton requests that the designated commercially sensitive information in the exhibits be treated as confidential, that the unredacted versions of the Exhibits be removed from the public record, and that Flexport be required to file confidential and public versions of the Exhibits with the Commission.

The undersigned finds that Exhibits B Flexport’s answer is the Master Services Agreement between the parties for the 2020-2021 term and Exhibit C is the Master Services Agreement for the 2021-2022 term. The highlighted versions attached to the pending motion identify the information Peloton seeks to have designated as confidential.

The highlighted portions of paragraphs 8 and 11 of Exhibit B consist of commercially sensitive key performance information and audit information that has been designated as confidential pursuant to the terms of the agreement and is obviously sensitive commercial information on its face. The highlighted portions of paragraphs 8 and 14 of Exhibit C consist of commercially sensitive key performance and audit information that has been designated as

confidential pursuant to the terms of the agreements and is obviously sensitive commercial information on its face. Peloton's motion for confidentiality is **GRANTED** with respect to the highlighted portions of paragraphs 8 and 11 of Exhibit B and highlighted portions of paragraphs 8 and 14.

The remainder of the highlighted information in both Exhibits B and C consists of the names, titles, and contact information for employees of the parties. The motion fails to explain why the highlighted employee identity and contact information constitutes "confidential research, development, or commercial information" in accordance with 46 C.F.R. § 502.141(j)(1) and paragraph 21 of the Initial Order. Rather, the motion merely suggests that the information should be treated as confidential because the parties have agreed to treat it as such. While this may be sufficient for purposes of discovery, the initial order makes clear that good cause must be established for use in the proceeding. The motion for confidentiality fails to "identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii)." 46 C.F.R. § 502.5(b). As Judge Crovella stated in the May 15, 2025, order on pending motions: Paragraph 26 of Initial Order paragraph 26 "cites to Commission Rule 13, personally identifiable information includes social security numbers, birth dates, and financial account numbers, not employee names or their employee email addresses, corporate email addresses, corporate names, or corporate addresses. Complainant has provided no case authority that holds otherwise." (Dkt. 62 at 6.) Accordingly, the motion is **DENIED** with respect to the highlighted employee name, title, and contact information in Exhibits B and C.

Flexport is **ORDERED** to file confidential and public versions of both Exhibits A and B to its Answer consistent with this order.

The Office of the Secretary is requested to treat the designated information in Exhibits B and C to Flexport's answer as confidential.

2. Second Motion for Confidential Treatment

On February 5, 2025, Complainant Pelotons Interactive, Inc.'s Second Motion for Confidential Treatment Motion for Confidential Treatment, which seeks confidential treatment of Exhibit 3 to Flexport International LLC's ("Flexport's") Response to Peloton's Motion to Compel ("Response"). (Dkt. 37.) Peloton states that the parties entered into a confidentiality agreement requiring confidential material to be filed and labeled as such. Peloton states that on January 21, 2024, Flexport filed its Response to Peloton's January 14, 2025, motion to compel, and included Exhibit 3 as an exhibit. Peloton states that Exhibit 3 comprises multiple chains of email correspondence extracted from Peloton's document production.

Peloton states that portions of Exhibit 3 include commercially sensitive and confidential information that should have been designated as confidential. Peloton requests that these portions of Exhibit 3 be designated as confidential, that the unredacted versions of Exhibit 3 be immediately removed from the public record, and that Flexport be required to file both confidential and public versions of Exhibit 3 consistent with the Initial Order. Peloton states good cause exists for protection of the identified portions in Exhibit 3 that contain commercially sensitive information related to the business dealings of the parties, including but not limited to rates, charges, and shipment information. Peloton also states that Exhibit 3 includes

personally identifiable information (“PII”) for a number of Peloton employees, Flexport employees, and third parties.

Peloton attached as Exhibit A to its motion the Stipulation of Confidentiality between the parties dated December 13, 2024, which, *inter alia*, allows each party to designate confidential material and requires the parties to label all confidential materials filed in the proceeding in accordance with 46 C.F.R. § 502.5 Peloton attached as Exhibit B to its motion a version of Exhibit 3 with the commercially sensitive / PII-related information highlighted. Peloton states that Flexport’s position is that only the PII is confidential, and that it subsequently filed a version with the PII redacted.

The undersigned finds that Exhibit 3 consists of a number of emails. In the highlighted version submitted by Peloton, name and contact information have been highlighted in addition to unspecified container backlog and warehouse capacity information.

The motion fails to explain why the highlighted portions of Exhibit 3 constitutes “confidential research, development, or commercial information” in accordance with 46 C.F.R. § 502.141(j)(1) and paragraph 21 of the Initial Order. Rather, the motion merely suggests that the information should be treated as confidential because the parties have agreed to treat it as such. While this may be sufficient for purposes of discovery, the initial order makes clear that good cause must be established for use in the proceeding. The motion for confidentiality fails to “identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii).” 46 C.F.R. § 502.5(b).

Moreover, as Judge Crovella stated in the May 15, 2025 order on pending motions: Paragraph 26 of Initial Order paragraph 26 “cites to Commission Rule 13, personally identifiable information includes social security numbers, birth dates, and financial account numbers, not employee names or their employee email addresses, corporate email addresses, corporate names, or corporate addresses. Complainant has provided no case authority that holds otherwise.” (Dkt. 62 at 6.) Accordingly, the motion is **DENIED**.

Flexport is **ORDERED** to file a public version of Exhibit 3 to Flexport International LLC’s Response to Peloton’s Motion to Compel.

3. Fourth Motion for Confidential Treatment

On May 28, 2025, Complainant Peloton Interactive, Inc.’s Fourth Motion for Confidential Treatment was filed. (Dkt. 65.) In the motion, Peloton seeks confidential treatment of Exhibit 2 to Peloton’s Opposition to Respondent Flexport International LLC’s Motion for Sanctions for Failing to Comply with Discovery Orders. (Dkt. 63.) Peloton states that the parties entered into a Stipulation of Confidentiality on December 13, 2024, which is attached as Exhibit A to the motion and requires all confidential material filed with the Commission to be labeled as such in accordance with 46 C.F.R. § 502.5. Peloton states that Exhibit 2 to its opposition is a supplemental report by Gregory E. Smith. Peloton states that Exhibit 2 contains commercially sensitive and confidential information. Peloton states that good cause exists because Exhibit 2 contains commercially sensitive information related to the business dealings of the parties, including but not limited to charges and shipment information.

The undersigned finds that Exhibit 2 to Peloton's opposition to Flexport's motion for sanctions is a nine page supplemental report by expert Gregory E. Smith with exhibits.

The motion fails to explain why the highlighted portions of Exhibit 3 constitutes "confidential research, development, or commercial information" in accordance with 46 C.F.R. § 502.141(j)(1) and paragraph 21 of the Initial Order. Rather, the motion merely suggests that the information should be treated as confidential because the parties have agreed to treat it as such. While this may be sufficient for purposes of discovery, the initial order makes clear that good cause must be established for use in the proceeding. The motion for confidentiality fails to "identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii)." 46 C.F.R. § 502.5(b).

Moreover, the motion for confidential treatment does not comply with 46 C.F.R. § 502.71 because it does not state what attempt was made to confer with the opposing party to determine whether the motion is opposed.

Accordingly, the motion is **DENIED**.

4. Fifth Motion for Confidential Treatment

On June 6, 2025, Complainant Peloton Interactive, Inc.'s Fifth Motion for Confidential Treatment was filed. (Dkt. 69.) In the motion, Peloton seeks confidential treatment of the entire contents of deposition transcripts for 30 days after the deposition transcript is made available.

Peloton states that the parties entered into a confidentiality agreement that provided that the entire contents of any deposition shall be treated as confidential material for thirty days after the deposition transcript is available. Peloton states that its Status Report includes deposition testimony from Flexport's expert witness, Gary Karian. Peloton states that pursuant to the confidentiality agreement, this testimony is designated as confidential through July 5, 2025, and that unless otherwise designated for continued confidential treatment, the material will no longer be confidential on July 6, 2025, and can be publicly filed. Peloton states that it intends to update the motion with any designations. Peloton argues that good cause exists to maintain the confidentiality of the deposition testimony in accordance with the agreement.

The motion fails to explain why the highlighted portions of Exhibit 3 constitutes "confidential research, development, or commercial information" in accordance with 46 C.F.R. § 502.141(j)(1) and paragraph 21 of the Initial Order. Rather, the motion merely suggests that the information should be treated as confidential because the parties have agreed to treat it as such. While this may be sufficient for purposes of discovery, the initial order makes clear that good cause must be established for use in the proceeding. The motion for confidentiality fails to "identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to § 502.141(j)(1)(vii)." 46 C.F.R. § 502.5(b).

The motion is inconsistent with paragraph 22 of the initial order, which provides: "*Depositions* – Parties may not mark entire depositions as confidential. Parties should ask questions that may require confidential responses together, typically at the end of the deposition. Alternatively,

parties may mark as confidential selected statements in a deposition prior to filing the deposition as an exhibit. Requests for confidential treatment of entire depositions should not be made and may be summarily rejected.” (Dkt. 4 at 5.)

Moreover, the motion for confidential treatment does not comply with 46 C.F.R. § 502.71 because it does not state what attempt was made to confer with the opposing party to determine whether the motion is opposed.

Accordingly, the motion is **DENIED**.

II. Complainant’s Status Report and Respondent’s Response

On June 6, 2025, Complainant Peloton Interactive, Inc.’s Status Report (w/attachments 1-3 public and confidential version) was filed. (Dkt. 67.) The unilateral report was not required by the Scheduling Order or any order entered in the proceeding. The report states that it is being submitted “following the close of discovery on June 2, 2025, to inform the Presiding Officer that Respondent Flexport International LLC (“Flexport”) has not complied with orders compelling discovery.” (Dkt. 67 at 1.)

On June 13, 2025, Respondent’s Response to Peloton’s Status Report (with Exhibits A and B) was filed. (Dkt. 71.) Flexport argues, *inter alia*, that Peloton is circumventing the required motions practice by improperly filing a status report in lieu of a motion, but states that despite the improper practice it is obliged to respond in kind.

Neither the Commission’s Rules, nor any orders issued in this proceeding permit the filing of a status report in lieu of a motion.

FMC Rule 69(a) provides, in pertinent part:

In any adjudication, an application or request for an order or ruling not otherwise specifically provided for in this part must be by motion.

46 C.F.R. § 502.69(a).

“A joint status report is not a motion...[and] thus fails to satisfy the Commission’s requirements for the filing of motions...and is procedurally improper.” *NNabugwu Chinedu Andrew v. Marine Transport Logistics*, Docket 20-21, 2021 WL 2826352 at *1 (FMC July 2, 2021).

Moreover, to the extent that discovery issues raised in the parties’ motions to compel (Dkt. 30, 32) have not already been adjudicated by the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel served March 26, 2025 (Dkt.47), the parties may raise objections and requests to exclude or obtain evidence in their briefs, citing to appropriate authority.

As Peloton's status report and Flexport's response thereto are procedurally improper, they will both be disregarded as a legal nullity. Accordingly, to the extent that relief is requested in Peloton's Status Report and Flexport's Opposition thereto, it is **DENIED**.

III. Conclusion

A. Respondent's Motion to Dismiss and for Sanctions (Dkt. 54)

It is **ORDERED** that **within 15 days of the date of this order** Complainant shall provide Respondent with a privilege log with respect to the audit document withheld under a claim of privilege that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

It is further **ORDERED** that **within 15 days of the date of this order** Complainant shall provide Respondent with a sworn affidavit or multiple affidavits setting forth the factual basis for each claim of privilege.

It is further **ORDERED**, that to the extent that discovery have not been resolved by this order, the parties may raise objections and requests to exclude or obtain evidence in their briefs, citing to appropriate authority.

It is further **ORDERED** that Complainant's request for attorney's fees and other relief is **DENIED**.

It is further ordered that Respondent's Motion to Dismiss and for Sanctions is **DENIED**.

B. Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders (Dkt. 63)

It is **ORDERED** that Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders is **DENIED**.

It is further **ORDERED** that **within 15 days of the date of this order** Complainant shall provide Respondent with supplemental responses to Interrogatory Nos. 15 and 18 in which all responsive documents are identified by Bates number, Bates range, or other identification number. Complainant is directed not to assert any subject to or boilerplate objections in its response, and to the extent any general objection is asserted that the factual basis for the objection to be stated. To the extent any claim of privilege is raised, Complainant is directed to provide a privilege log that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

It is further **ORDERED**, that both parties are advised that the failure to comply with any order entered in this proceeding may result in the imposition of sanctions, including but not limited imposing an adverse inference, dismissal of the complaint, or entry of judgment.

It is further **ORDERED** that Complainant's request for attorney's fees and other relief is **DENIED**.

C. Respondent's Motion to Compel Discovery (Dkt. 30.)

It is **ORDERED** that Respondent's objection is **OVERRULED**. The motion to compel RFP No. 4 is **GRANTED**. Respondent is directed to produce all responsive documents **within 15 days of the date of this order**.

It is further **ORDERED** that Respondent's objection is **SUSTAINED**. The motion to compel RFP No. 5 is **DENIED**.

It is further **ORDERED** that Respondent's objection is **SUSTAINED IN PART**. The motion to compel RFP No. 13 is **GRANTED IN PART**. Respondent shall produce responsive documents **for years 2020 and 2021 within 15 days of the date of this order**.

D. Complainant's Motion to Compel Discovery (Dkt. 32.)

It is **ORDERED** that the motion to compel Interrogatory Nos. 12, 13, 14, 15, and 18 is **GRANTED**. Peloton is directed to supplement its response **within 15 days of the date of this order**. All "subject to" and boilerplate objections are improper and deemed **WAIVED**. To the extent that Peloton withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 4) Names of all persons who received the document or were present at time of communication; 5) Description of document or communication; 6) All privileges claimed; 7) Basis for each privilege claimed.

It is further **ORDERED** that the motion to compel Interrogatory No. 24 is **DENIED**.

E. Complainant's First Motion for Confidentiality (Dkt. 18)

It is **ORDERED** that Peloton's motion for confidentiality is **GRANTED IN PART AND DENIED IN PART**. It is **GRANTED** with respect to the highlighted portions of paragraphs 8 and 11 of Exhibit B and highlighted portions of paragraphs 8 and 14.

It is further **ORDERED** that the motion is **DENIED** with respect to the highlighted employee name, title, and contact information in Exhibits B and C.

It is further **ORDERED** that Respondent shall file confidential and public versions of both Exhibits A and B to its Answer consistent with this order.

F. Complainant's Second, Fourth, and Fifth Motions for Confidentiality (Dkt. 37, 65, and 69)

It is **ORDERED** that Complainant's Second, Fourth, and Fifth Motions for Confidentiality are **DENIED**.

G. Complainant's Status Report (Dkt. 67) and Respondent's Response (Dkt. 71)

It is **ORDERED** that Complainant Peloton Interactive, Inc.'s and Respondent's Response to Peloton's Status Report are procedurally improper and deemed a nullity, and any relief requested therein is **DENIED** on that basis.

H. Scheduling Order Amendments

It is **ORDERED** that the parties comply with the following amendments to the Scheduling Order:

August 14, 2025	Complainant's Initial Brief, Proposed Findings of Fact, and Appendix
September 11, 2024	Respondent's Opposition Brief, Response to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix
September 25, 2025	Complainant's Reply Brief and Responses to Proposed Findings of Fact

Mary A. Hervey - Digitally signed by Mary A.
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Date: 2025.06.30 13:49:23 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge